

Living in a care home - how we work out what you pay

Your Financial Assessment

When your social care worker arranges for you to go to live in a care home, they will notify Adult Care Financial Services. Adult Care Financial Services will then contact you, or somebody who helps you to manage your money, and arrange to complete a statement of your financial circumstances. This enables us to calculate how much you can afford to pay towards the cost of your care.

If you have already provided us with this information, because you have received services from us before, we may use the information we already hold about your finances to work out how much you can pay towards the cost of your care home.

Do I have to pay?

Almost everyone who goes to live permanently in a care home need to pay towards the cost of their care.

The rules on how we calculate how much you have to pay for your residential care are set by the Department of Health.

The amount you will pay depends on:

- Whether you own a property
- The amount of “capital” you have – savings, investments, premium bonds, property (including your home)
- Your income, including state pension, disability and means tested benefits, and private pensions.

The flowchart on the back page of this Fact Sheet provides a guide which you can match to your own circumstances.

If you need to pay for your own care, it is important that you seek specialist information and advice so that you make informed choices about your care and how you pay for it – see contact details at the end of this factsheet.

If you need to pay for your own care, please also see our Care and Support Directory for more information.

You may also be entitled to benefits. Visit www.nottinghamshire.gov.uk/benefitsadvice or phone 0300 500 80 80 for more information.

How much will I have to pay?

Income

Whilst you are living in the home, we allow a small amount for personal expenses but if, after taking this amount into account, your weekly income is greater than the weekly charge of the home, you must pay the whole cost.

When working out how much you will pay for your long-term care, we take account of all the benefits you are **entitled** to receive. You must ensure that you claim all the benefits you are entitled to.

The following are **included** when we work out how much you will have to pay:

- Retirement Pension
- Incapacity Benefit
- Employment Support Allowance
- Income Support
- Pension Credit
- Occupational pensions
- Private pensions
- Income from bonds/investments
- Rental income from property or land
- Earnings and income from businesses

The following are **excluded** when we work out how much you will have to pay:

- Disability Living Allowance/Personal Independence (mobility component)
- Winter Fuel Allowance
- Retirement Pension Christmas Bonus

If the Council is helping you pay for your care, your Attendance Allowance (AA), Personal Independence Payment (PIP) – daily living component or Disability Living Allowance (DLA) - care component should cease when you have been staying at the care home for four weeks. If you are paying the full cost of your care, then you should still receive your Attendance Allowance, Disability Living allowance -care component/Personal Independence Payment – daily living component.

Capital and Property

Capital includes any savings you have such as bank accounts, building society accounts, stocks and shares, premium bonds, and investments. It also includes any property or land that you own, including your home.

If you have capital (including your home) of more than £23,250 you will have to pay the full cost of your care. Any capital below £14,250 will be excluded.

If someone is to remain living in your home when you move into residential care, we may exclude the value of your home, depending on the individual circumstances. You will have to talk about this with whoever does your financial assessment, or you can contact the Adult Care Financial Services Team – their contact details are at the end of this factsheet.

If you have savings of between £14,250 and £23,250, we will charge you £1 per week per whole unit of £250 between £14,250 and £23,250, towards your care.

If you own a property which is not your main residence, for example a holiday home, business premises, former home or a property which you rent out, this will be treated as capital and so it is very likely that you will have to pay the full cost of your care.

Deprivation of income and savings

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What does “Deprivation” mean?

If you give away savings, property or other things that count as capital this will be investigated as “deprivation”.

If you give away savings, property or other assets, or if you have sold property for less than its value, before going into a care home, then we may treat you as if you still have it. The person that you have given them to may become legally liable and we may recover any unpaid charges from that person. This may involve proceedings in the County Court.

Do I have to sell my home?

Not necessarily – you may decide to take out a Deferred Payment Agreement.

A Deferred Payment Agreement (DPA) is a legal agreement between you and the Council to defer some of your care fees against your property until it is sold, you leave residential care, or you pass away. See the Fact Sheet [Universal Deferred Payment Scheme](#) for more information.

We strongly advise you to take specialist advice before making any decisions about selling your home to fund your care – see contact details at the end of this factsheet.

What if I am a homeowner but my home is excluded?

Adult Care Financial Services will periodically check that your partner (or person whose occupancy means that the property is excluded) still lives there. It is essential that you tell us about any changes in circumstances for your property.

If you rent your home

If you rent your home and receive Housing Benefit, you will continue to receive this for four weeks after moving into a care home. If your

notice period extends beyond four weeks, we may make an allowance for up to a further four weeks rent.

Whether you rent or own your home, we do not make allowance for other expenses such as:

- Gas, electricity, telephone
- Sewerage element of water rates (you should contact your provider to claim an exemption)
- Credit card, loan, catalogue repayments
- Gardening/cleaning/window cleaning
- Equipment maintenance agreements (for example boiler or stair lift)
- Television Licence
- Sky/Virgin/BT Vision subscriptions
- Internet Connections
- Mobile Telephones
- Car
- Charitable donations
- Gifts
- Magazine/newspaper subscriptions
- Funeral Plan
- Life Insurance
- Gym membership

How much of my income will I have left?

You will have a small personal allowance left each week to pay for clothing, toiletries and your other outgoings. This amount increases every April.

There may be circumstances where you can keep a small additional amount depending on your income.

We may be able to increase your allowance if you have special circumstances. If you have additional expenses that you cannot pay discuss these with your social care worker who might be able to consider increasing your personal allowance.

How is my care cost worked out if I have a partner and perhaps children who remain at home?

When you move into a care home, you will be treated as a single person for benefits purposes.

Only your own income is taken into account by us. If you have no income of your own, or your income is very low, for example, a small retirement pension, that is all that is taken into account.

Your partner's income cannot be taken into account when we work out how much you should pay towards your care costs.

How are occupational pensions treated if I live with a partner?

If you have an occupational pension, you can choose to give half of it to the partner staying at home. You will then get more financial help from us, but the person staying at home may get less income support or pension credit. You may want to contact Adult Care Financial Services about this – see the contact details at the end of this factsheet.

Third party payments

A third party is someone who agrees to pay a "top-up" to enable a relative or friend to go into a home which charges more for care than we expect to pay for someone with similar care needs. This top-up is in addition to the amount you are asked to pay from your own income and savings.

The amount of the top-up is agreed at the time you go into the home but can be changed by the home if they give notice. To protect the person paying the top-up, the Council pay it to the home and then invoice the person for the agreed amount every four weeks. The person who agrees to become a third party will be asked to sign an agreement form.

The care home should not ask you or your family/friends to pay any additional top-up payments which have not been agreed by the Council. It is very important that you tell Adult Care Financial Services or your social care worker if you or your family are asked to pay any money directly to the care home.

It is very important that the person who agrees to make third party payments is able to do so for as long as you are in the home. If regular payments are not made, we may have to ask

you to move to a home which still meets your needs but costs less.

How do I pay?

The Council will pay the care home directly and then work out how much you have to pay and tell you how much this is. The council will then send you an invoice every four weeks. There may be a delay between you going to the care home and receiving your invoices, so you must not spend all your money as the charges will start from the date your stay began.

When your invoice is sent, it will give details of how to pay. To discuss ways to pay, see contact details at the end of this factsheet for our Debt Recovery Team.

What if I don't pay?

If you do not pay your fees, you will be contacted by the Council to find out whether there is any problem. If there is a problem, we will try to help you sort it out. If there is no problem, but you still do not pay your bills, then we will take action to recover any debts. This could mean court action if all else fails.

Financial advice for people paying for their own care:

It is a good idea to get financial information and advice from an expert if you are making decisions about paying for care.

This may be, for example:

- if there are several options available and you would like support to choose one.
- where there is a potential conflict between your interests and ours.
- when you are about to enter a legal agreement, such as a deferred payment agreement; or
- when you want advice on specific financial products to get the most out of your assets.

Providers you might find helpful are listed on the Nottingham Help Yourself website and include:

- Money Advice Service
- Citizen's Advice Bureau

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- The Society of Later Life Advisers
- Which? Elderly Care

Alternatively, you can phone us on 0300 500 80 80 where our advisers can guide you through the options.

Independent financial advisers (IFAs) can give you advice on financial matters and recommend suitable financial products, but you may need to pay for their advice.

Please note - Nottinghamshire County Council has supplied details of some financial advisers for your information only, the information is not exhaustive and there are more financial advisers available in the market. The Council has not vetted any financial advisers and does not control and is not responsible or liable for them or any advice or services they provide. The Council does not endorse or make any representations about any financial advisers, or any results or advice that may be obtained from using them. If you decide to use any financial adviser, please ensure that you conduct your own prudent checks.

Contact information

For more information about how we have worked out how much you must pay for your care contact Adult Care Financial Services on:

Telephone: 0115 9775760 (Option 3)
Monday to Thursday 8.30 am to 5.00pm
Friday 8:30 am to 4:30 pm
Email:
acfs.financialassessments@nottsccl.gov.uk

If you would like to discuss payment of your invoices or the balance of your account please contact the Debt Recovery Team on

Telephone: 0115 9772727 (Select option 2, then option 1)
Monday to Thursday 8.30 am to 5.00pm
Friday 8:30 am to 4:30 pm
Email: debt.recovery@nottsccl.gov.uk

For any other enquiries contact:

Phone: 0300 500 80 80 - Monday to Friday:
8am to 6pm (Calls cost 3p a minute from a BT landline. Mobile costs may vary).

Enquiries:

www.nottinghamshire.gov.uk/contact

Website: www.nottinghamshire.gov.uk

Deaf / hard of hearing:

- Text relay service: Dial 18001 0115 9774050 from your textphone or the Relay UK app.



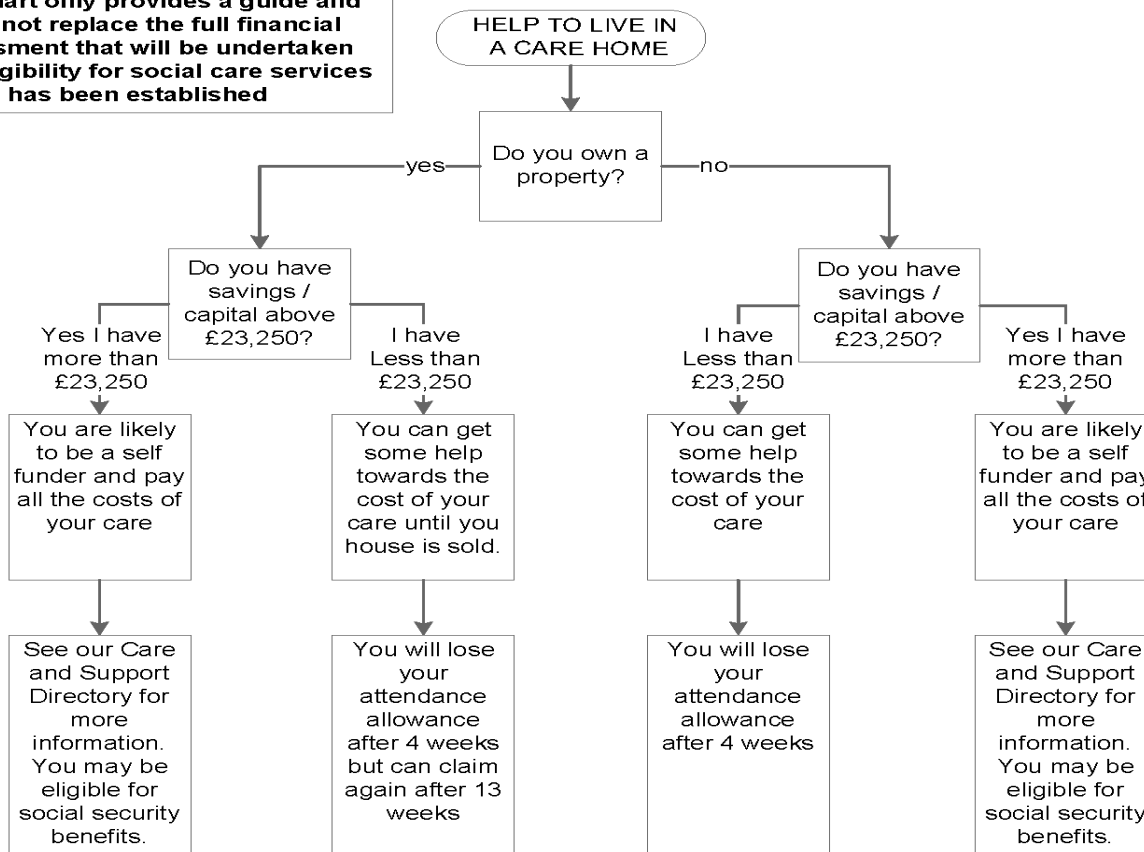
Download the SignVideo app to communicate with Nottinghamshire County Council in British Sign Language via an interpreter. Visit www.nottinghamshire.gov.uk/contact-us for more information.

Phone 0300 500 80 80 if you need the information in a different language or format.

The Council is committed to protecting your privacy and ensuring all personal information is kept confidential and safe. For more details see our general and service specific privacy notices at:

<https://www.nottinghamshire.gov.uk/global-content/privacy>

This chart only provides a guide and does not replace the full financial assessment that will be undertaken once eligibility for social care services has been established



Definition of Savings / Capital

For services which enable you to live within a care home the list below provides a guide of savings / capital that Nottinghamshire County Council includes. This is intended as a guide and is not exhaustive;

- Buildings and land (owned but not those you currently live in / on)
- National Savings Certificates and Ulster Savings Certificates
- Premium Bonds
- Stocks & Shares
- Capital held by the Court of Protection or a deputy appointed by that Court
- Savings held in building societies & bank accounts (including savings held in the National Savings Bank, Girobank and Trustee Savings Bank)
- SAYE schemes
- Unit trusts
- Co-operative share accounts
- Cash
- Trust funds